AEGIS BANK

Loan Approval Guidelines

Enterprise AI Decision & Knowledge Platform for Modern Banking

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Document Information

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Confidentiality Notice

This Loan Approval Guidelines document is the confidential property of **Aegis Bank**. It establishes the policies, approval authorities, risk assessment standards, and operational procedures governing loan origination and approval.

The contents of this document are intended solely for authorized employees involved in lending, underwriting, risk management, compliance, and executive decision-making.

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1. Purpose

The purpose of these Loan Approval Guidelines is to establish a consistent, transparent, and risk-based framework for evaluating, approving, and monitoring loans issued by Aegis Bank.

These guidelines help ensure:

- Responsible lending.
- Sound credit decisions.
- Regulatory compliance.
- Portfolio quality.
- Fraud prevention.
- Customer fairness.
- Sustainable business growth.

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2. Scope

These guidelines apply to:

- Personal Loans
- Home Loans
- Auto Loans
- Business Loans
- SME Financing
- Commercial Lending
- Relationship Managers
- Credit Analysts
- Credit Risk Officers
- Branch Managers
- Credit Committee Members

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3. Policy Statement

All lending decisions shall be based on objective credit analysis, verified customer information, affordability assessments, and applicable regulatory requirements.

No employee may approve a loan outside their delegated authority.

Loan approvals must:

- Follow KYC requirements.
- Comply with AML regulations.
- Use documented credit analysis.
- Follow the Approval Authority Matrix.
- Be fully documented.
- Be auditable.

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4. Lending Principles

Every lending decision should follow these principles:

- Responsible lending.
- Customer affordability.
- Independent credit assessment.
- Transparency.
- Regulatory compliance.
- Fair treatment.
- Risk-based decision making.
- Portfolio diversification.

The Bank does not approve loans solely based on customer relationships or verbal assurances.

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5. Roles & Responsibilities

Relationship Manager

Responsible for:

- Meeting the customer.
- Explaining loan products.
- Collecting documentation.
- Completing the application.
- Conducting initial financial assessment.

Credit Analyst

Responsible for:

- Reviewing financial information.
- Assessing repayment capacity.

- Preparing the credit recommendation.
- Identifying risks.
- Calculating debt ratios.

Credit Risk Officer

Responsible for:

- Reviewing credit recommendations.
- Assigning internal risk ratings.
- Recommending approval or decline.
- Escalating complex applications.

Branch Manager

Responsible for:

- Approving eligible loans within delegated authority.
- Ensuring policy compliance.
- Supervising lending operations.

Credit Committee

Responsible for:

- Reviewing high-value or complex lending proposals.
- Approving loans exceeding delegated branch authority.
- Reviewing policy exceptions.
- Monitoring portfolio quality.

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6. Loan Categories

Aegis Bank offers:

- Personal Loans
- Home Mortgages
- Auto Loans
- Education Loans
- Business Loans
- SME Financing
- Commercial Real Estate Loans
- Working Capital Facilities
- Overdraft Facilities
- Credit Lines

Each product follows separate operational procedures while remaining subject to these guidelines.

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7. Eligibility Requirements

Applicants must satisfy minimum lending requirements.

Typical requirements include:

- Successful KYC verification.
- AML clearance.
- Minimum age requirement.
- Stable income or verified business revenue.
- Acceptable credit history.
- Demonstrated repayment capacity.
- Required collateral (where applicable).
- Valid identification.
- Proof of address.

Meeting minimum eligibility requirements does not guarantee loan approval.

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8. Required Documentation

Individual Applicants

Required documents may include:

- Government-issued photo identification.
- Proof of address.
- Recent salary slips.
- Bank statements.
- Employment verification.
- Tax documents (where applicable).
- Loan application form.
- Income declaration.

Business Applicants

Additional documentation may include:

- Certificate of Incorporation.
- Business Registration.
- Financial Statements.
- Tax Returns.
- Cash Flow Statements.
- Business Bank Statements.
- Beneficial Ownership Declaration.
- Details of Directors and Shareholders.

Incomplete applications must not proceed to credit assessment.

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9. Credit Assessment Process

Every loan application undergoes a structured credit evaluation.

Assessment includes:

- Identity verification.
- Income verification.
- Employment or business verification.
- Credit history review.
- Existing debt obligations.
- Debt-to-income ratio analysis.
- Cash flow analysis.
- Collateral assessment (if applicable).
- KYC review.
- AML screening.
- Fraud risk assessment.

Credit decisions must be supported by documented evidence rather than assumptions.

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10. Internal Risk Rating Framework

Each borrower is assigned an internal credit risk rating.

Risk Rating	Description
Low Risk	Strong repayment capacity, stable financial history, and low default risk.
Moderate Risk	Acceptable repayment ability with manageable risk factors.
Elevated Risk	Increased credit risk requiring additional review and controls.
High Risk	Significant repayment concerns requiring senior approval or decline consideration.

Risk ratings should be reviewed whenever material changes occur in the borrower's financial profile.

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11. Loan Approval Authority Matrix

Loan approvals are granted according to delegated authority limits to ensure appropriate oversight and risk management.

Loan Amount	Approval Authority
Up to **$10,000**	Branch Manager
$10,001 – $50,000	Senior Branch Manager + Credit Risk Officer
$50,001 – $250,000	Credit Committee
Above **$250,000**	Executive Credit Committee + Chief Risk Officer

Employees must not approve loans that exceed their delegated authority.

Approval authority may not be transferred without written authorization from Executive Management.

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12. Credit Committee Review

Applications requiring Credit Committee approval shall include:

- Credit assessment report
- Borrower risk rating
- Financial analysis
- Income verification
- Collateral valuation (where applicable)
- Debt-to-income analysis
- KYC verification confirmation
- AML clearance
- Credit bureau report
- Relationship history (if applicable)

The Credit Committee may:

- Approve the application.
- Approve with conditions.
- Request additional information.
- Decline the application.

All decisions must be documented in meeting minutes.

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13. Collateral Evaluation

Collateral may be required depending on the loan product and borrower risk profile.

Acceptable collateral may include:

- Residential property
- Commercial property
- Vehicles
- Fixed deposits
- Government securities
- Approved financial assets

Collateral must:

- Be independently valued.
- Be legally verified.
- Be properly documented.
- Be insured where applicable.

Collateral value should be reviewed periodically for higher-value lending facilities.

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14. Loan Decline Criteria

A loan application may be declined for reasons including:

- Failed KYC verification.
- AML concerns.

- Unsatisfactory credit history.
- Insufficient repayment capacity.
- Incomplete documentation.
- Fraud indicators.
- False information provided.
- Excessive debt obligations.
- Unacceptable collateral.
- Regulatory restrictions.

Declined applications shall include documented reasons and supporting evidence.

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15. Exception Management

Policy exceptions should remain rare and require documented approval.

Examples include:

- Temporary documentation exceptions.
- Approved policy deviations.
- Specialized commercial lending arrangements.

Every exception must:

- Include a written business justification.
- Receive approval from the appropriate authority.
- Be recorded for audit purposes.
- Be reviewed by Credit Risk.

Unauthorized policy exceptions are prohibited.

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16. Loan Disbursement

Following final approval:

- Loan agreements are prepared.

- Customer acceptance is obtained.
- Required security documentation is completed.
- Collateral is perfected (where applicable).
- Compliance checks are confirmed.
- Funds are released through approved banking channels.

No funds may be disbursed before all approval conditions have been satisfied.

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17. Post-Approval Monitoring

Approved loans shall be monitored throughout their lifecycle.

Monitoring activities include:

- Payment performance.
- Financial covenant compliance.
- Changes in borrower financial condition.
- Collateral value reviews.
- Credit risk reassessment.
- Early warning indicators.
- Portfolio concentration analysis.

Higher-risk loans may require more frequent monitoring.

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18. Delinquency & Default Management

If repayment issues arise, the Bank shall take appropriate action.

Examples include:

- Customer reminders.
- Payment restructuring (where approved).
- Financial counseling.
- Collection activities.

- Legal recovery procedures.
- Collateral enforcement where legally permitted.

Every case should be handled professionally, fairly, and in accordance with applicable laws and regulations.

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19. Internal Audit & Quality Assurance

The Credit Risk and Internal Audit Departments shall periodically review lending activities.

Audit reviews may include:

- Loan file completeness.
- Approval authority compliance.
- Documentation quality.
- Policy compliance.
- Risk rating consistency.
- Exception approvals.
- Portfolio performance.

Corrective actions shall be implemented where deficiencies are identified.

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20. Practical Examples

Example 1 – Personal Loan Approval

A customer applies for a **$8,000** personal loan.

The Bank verifies:

- Identity
- Employment
- Income
- Credit history
- KYC

- AML

Outcome

The customer demonstrates strong repayment capacity and receives Branch Manager approval.

Example 2 – Business Loan

A manufacturing company applies for a **$150,000** working capital facility.

The Credit Analyst prepares a comprehensive financial assessment, collateral valuation, and risk analysis.

Outcome

The application is reviewed by the Credit Committee and approved subject to registration of collateral before disbursement.

Example 3 – High-Risk Borrower

A borrower requests a **$60,000** loan but has multiple recent loan defaults and inconsistent income documentation.

Correct Action

The application is escalated to the Credit Committee. Following additional review, the loan is declined due to unacceptable credit risk.

Example 4 – Incomplete Application

A customer submits a home loan application without providing proof of income.

Correct Action

The application remains pending until all mandatory documentation has been received and verified.

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21. Frequently Asked Questions (FAQs)

Q1. Can a Branch Manager approve every loan?

No. Branch Managers may only approve loans within their delegated approval limits.

Q2. Who approves loans above $50,000?

Loans exceeding **$50,000** require review and approval by the Credit Committee in accordance with the Approval Authority Matrix.

Q3. Is collateral required for every loan?

No. Collateral requirements depend on the loan product, amount, borrower profile, and risk assessment.

Q4. Can a loan be approved before completing KYC and AML checks?

No. Mandatory KYC and AML requirements must be successfully completed before final loan approval.

Q5. What happens if a customer provides false information?

The application may be declined, documented, and referred for further investigation where appropriate.

Q6. Can policy exceptions be approved?

Yes, but only when supported by documented business justification and approved by the appropriate delegated authority.

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22. Related Documents

This guideline should be read together with:

- Account Opening SOP (AB-OPS-001)
- Know Your Customer (KYC) Policy (AB-OPS-002)
- Anti-Money Laundering (AML) Policy (AB-OPS-003)

- Credit Card Operations SOP (AB-OPS-005)
- Risk Management Framework (AB-COMP-003)
- Code of Conduct (AB-HR-004)
- Customer Privacy Policy (AB-COMP-002)

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23. Revision History

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v1.0	January 25, 2026	Initial Release	Credit Risk Department
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v1.2	**July 24, 2026**	**Enhanced Approval Authority Matrix, Post-Approval Monitoring, and Exception Management Procedures**	**Credit Risk Department**

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24. Document Approval

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